Meeting Overview

This was a **Growth Circle Weekly Heavy Machinery Networking Meeting** (May 15, 2026) bringing together investors in an equipment leasing tax strategy through **Easy Share**. The centerpiece was a live walkthrough of a financial modeling spreadsheet by **Brayden Miller**, an accountant specializing in lease and loan accounting. Topics covered included interest rates, fee structures, tax strategy mechanics, material participation, audit risk, exit planning, and 2026 investment considerations.

---

1. Interest Rates & Financing

- **Liberty Bank**: 7.0% for $500k+ loans, 7.25% below $500k — but multiple investors successfully negotiated **7.0% on $400k loans**
- **Blue Summit Capital**: Flat 7.25%
- **Previous lender relationships**: One participant quoted 7.15% from their prior year's lender
- **Portfolio leveraging strategy** (Tyler & others): Bypasses Easy Share/Highland entirely using US Bank and Fidelity against existing portfolio assets — eliminates the 3% platform fee but requires existing portfolio assets and established banking relationships

---

2. Fee Structure

Fee	Amount	Notes
Down payment	10%	E.g., $40k on $400k equipment
Platform fee	3%	Paid upfront to Easy Share; may be negotiable for returning investors not using Highland
Loan origination	1.25%	Rolled into loan, paid over amortization

Fee	Amount	Notes
Historical 1% fee	Eliminated	Only applies if you still use Highland consultants

- **Total upfront**: $52k ($400k equipment) or $65k ($500k equipment)
- 2025 investors paid 4% total upfront fees (3% + 1%); 2026 investors effectively get a 1% discount by avoiding Highland

---

3. Brayden's Financial Model

Base Case Assumptions ($400k equipment, single filer)

- Upfront cost: $52,000 | Loan: ~$360k at 7%, 10-year term
- Gross annual lease income: ~$54,000 | Net annual cash flow: ~$1,000/year
- Exit value at Year 6: 56% of equipment cost (~$224k)

Depreciation: Bonus Depreciation vs. MACRS

- **100% Bonus Depreciation**: Full $400k deducted in Year 1; offsets ordinary W-2 income — preferred method for high earners
- **MACRS**: Spreads deductions over 5 years (20%, 32%, 19.2%, 11.52%, 11.52%, 5.76%); required by ~8 states (CA, NY, etc.) at the state level, meaning some investors must run two separate calculations
- **Section 179 confusion**: Several participants were told by CPAs they were using 179 vs. bonus depreciation. Key distinction: 179 only offsets business income; 100% bonus depreciation offsets W-2 income. Participants advised to clarify with their CPAs exactly what is being taken and carried over

Year 1 Tax Impact

- Business loss created: **$372k** ($400k depreciation minus ~$28k net income)
- IRS Excess Business Loss cap (single filer): **$256k**
- NOL carryforward to Year 2: **$116k**
- **Year 1 tax savings: ~$58,500** (federal + state, taxable income reduced to ~$0)

Year 2 Tax Impact

- NOL applied against $225k W-2 income (capped at 80% of taxable income per IRS rules)
- **Year 2 tax savings: ~$35,000**

Years 3–5

Modest positive income from lease payments; normal taxes on W-2 income; “pretty boring” from a tax strategy perspective

Year 6: Depreciation Recapture

- Equipment sold at 56% (~$224k); cost basis = $0 (fully depreciated)
- Full $224k treated as **ordinary income** — estimated **$56k tax liability**
- Investor may need ~$10k out of pocket to cover gap between sale proceeds, loan payoff, and taxes
- **Key insight**: If you don’t reinvest the tax savings, you may net a **$30k loss** over the full period. The strategy’s value is fundamentally about **time value of money** — invest the tax savings now, pay taxes later

Total Deal Summary

Metric	Amount
Initial investment	$52,000
Year 1 tax savings	~$58,500
Year 2 tax savings	~$35,000
Net cash flow (Yrs 1–6)	~$6,000
Exit proceeds	~$224,000
Year 6 tax liability	~$56,000
Total net return	**~$92,000–$93,000**

---

4. Audit Risk & CPA Concerns

- **Steve Lazaro’s CPA** flagged “no non-tax business purpose” — arguing a single-item Schedule C with a $400k depreciation deduction will attract IRS scrutiny

- **Group response**: The ~$46–50k profit over 6 years constitutes a legitimate profit motive; nothing illegal is being done; worst case is paying back taxes plus interest
- **Penalty structure**: ~7% annual interest on unpaid taxes per year; IRS has 7 years to challenge; no criminal penalties
- **IRS context**: Currently understaffed (reducing audit frequency), but implementing AI-based flagging that may catch year-over-year participation changes

---

5. Material Participation

- **100-hour threshold** required annually to classify as active business and offset W-2 income
- Qualifying activities include: equipment research, vendor management, lease negotiation, industry networking, and **Growth Circle meetings themselves**
- **Year 1 is most critical** — Garrett (tax attorney) confirmed Year 1 benefits are unlikely to be clawed back even if participation drops in later years
- **Passive reclassification in later years**: Loan interest can still offset passive lease income (~$53k/year); heavy machinery unlikely to generate net passive losses, so this is manageable
- **Retirement planning**: Investors transitioning out of high W-2 income should model whether active participation is worth maintaining; Year 6 recapture may actually be easier to manage as passive income
- **Practical advice**: Do 100+ hours in Year 1 (and Year 2 for safety); reassess thereafter based on income situation

---

6. Exit Strategy & Year 6 Planning

- **56% buyback**: Not contractually guaranteed (guarantee removed for IRS compliance — there must be genuine business risk), but group expressed confidence based on Easy Share's public company financials and equipment maintenance history
- **From the term sheet**: At the conclusion of the term, EquipmentShare will attempt to remarket and sell the Business Owner's equipment pursuant to the Remarketing Agreement, for an amount equal to or greater than the seventy-two (72) month floor

price of 56% of the original Program Price. However, to the extent that the business Owner's equipment has not been sold, the rental Program Agreement will continue on a month-to-month basis for up to an additional 12 months. During this time, you will continue receive your share of the monthly rental income and the remarketing floor price will be reduced by 1.1% per month.

- **Loan gap risk**: If equipment sells for less than 56%, investor may need to cover the shortfall — not fully resolved in the meeting
- **Recapture reinvestment options**: Proceeds don't have to go back into heavy machinery — any investment generating offsetting deductions qualifies (oil & gas, other passive strategies, future government-incentivized investments)
- **Conservative approach**: Plan to pay the full ~$56k tax liability; treat any offset strategy as upside

---

7. Investment Minimums for 2026

- **Stated minimum**: $400k — but Jenny successfully completed a **$300k investment in 2025** after the minimum was stated, suggesting it is a guideline rather than a hard rule
- **Returning investors** with direct Easy Share relationships (via Amy) appear to have flexibility on minimums and fees
- **2026 planning factors**: Existing NOL carryforwards from 2025 may reduce need for additional depreciation; participants waiting on final K-1s before committing to investment size

---

8. Logistics & Housekeeping

- **Salt Lake City conference (June)**: Braiden Shaw sent agenda email on May 14 from team@growyournetwork.com — several participants hadn't received it despite RSVPing; Brian to contact Gladys to fix distribution list
- **Spreadsheet availability**: Brayden to post downloadable link in GC Heavy Machinery thread; email available on request; 10-year projection tab exists but was cautioned as having too many variables to be reliably predictive
- **Meeting recording**: Ben recording and will post Zoom link in Heavy Machinery thread, likely active the following day

---

Key Takeaways

Topic	Key Point
Best rate	7.0% on $400k loan from Liberty (negotiable)
Total upfront ($400k)	$52,000
Year 1 tax savings	~$58,500
Year 2 tax savings	~$35,000
Total 6-year return	~$92,000–$93,000
Year 6 tax liability	~$56,000
Audit risk	Real but manageable with documentation + tax attorney
Material participation	100 hrs/yr; Year 1 most critical
Investment minimum	$400k stated; $300k approved with relationship
Spreadsheet	Available via Brayden in GC Heavy Machinery thread